

Parkview Crossing: Acquisition Summary

The property. 97 units, built 1958-59, at 901-951 NW 8th Ave, Pompano Beach, FL. Asking price \$13.8M (\$142,268/unit). The owner of record bought it in December 2021 for \$11.76M, so the ask is 17.3% higher. About 75% of the units are already renovated.

Recommendation: do not pay the ask. The most I would pay is about \$13.37M. That is the price at which the LP clears its 8% preferred return using the seller's assumable debt.

The plan

- **Finish the renovation.** Renovate the last 24 classic units at \$20,460 per unit. They reach market rent from Year 2.
- **Burn off loss-to-lease.** Let the 73 already-renovated units close toward market as they turn over.
- **Assume the seller's debt.** Take over the \$5.887M first mortgage at 3.0% (to December 2029) and the \$3.563M supplemental loan at 6.20%.
- **Refinance and sell.** At maturity, refinance into a floating loan: SOFR + 300 bps (6.74%), interest-only, with a 2-year cap at a 4.50% strike. Sell at the end of 2031 with no prepayment premium.

Base case at \$13.8M

Total cost / equity	\$14.55M / \$5.10M (90% LP, 10% GP co-invest)
Cap rate: broker / in-place (reassessed tax) / Year 1	7.0% / 5.86% / 6.36%
Year-1 NOI; operating expenses	\$878,230; \$10,736 per unit (54% of revenue)
2029 refinance	\$8.70M loan against \$9.45M payoff; \$93,950 cap; \$357,752 capital call
Exit (end of Year 5)	6.60% cap, \$14.54M (\$149,920/unit)
Levered IRR / multiple	5.73% / 1.29x (LP = GP, no promote)
Unlevered IRR	5.53%
Year-1 cash-on-cash	8.86%

Exit plan when the 3.0% loan matures (levered IRR)

Plan	IRR
Sell at maturity (3-year hold)	4.23%
Floating + cap refinance (base case)	5.73%
5-year fixed refinance (4% prepayment premium at sale)	4.58%
10-year fixed refinance (5% premium, comparison only)	4.19%
New agency debt at closing (Scenario B)	2.45%

Maximum price by target

Target	Assumed debt	New debt
LP IRR 8%	\$13.37M (\$137,824/unit, 3.1% below ask)	\$12.57M
Levered IRR 12%	\$12.73M	\$11.92M
Levered IRR 15%	\$12.29M	\$11.46M

What moves the answer

Change	Levered IRR
Exit cap 6.10% / 7.10% (±50 bps)	8.69% / 2.78%
Rent growth ±0.5% every year	7.78% / 3.62%
SOFR at the 4.50% cap strike for both refinance years	5.26%
Price 10% below ask (\$12.42M)	14.10%

Method. Property tax is reassessed to 85% of the price (Fla. Stat. 193.011(8)) and grows 3% a year with market value; the 10% cap in 193.1555 is a ceiling, not a growth rate. `verify_model.py` rebuilds the model from the input cells alone and matches 1,078 figures within \$1 or 1 bp.

Diligence: rent roll and T-12; who pays utilities and whether leases have a RUBS clause; roof and 40/50-year recertification; insurance quote; assumed-loan documents; 2029 floating-debt terms.